

Moving Defendant submits a copy of the California Motor Vehicle Lease Agreement apparently signed by Plaintiff on or about 11/5/25. (Leung Decl., ¶ 2, Exh. 1.) The document contains the following broad arbitration provision:

“Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a ‘Third Party Beneficiary’), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action.”

(Leung Decl., Exh. 1, p. 4, emphasis supplied.)

Third-Party Beneficiary

Plaintiff does not contest the validity or authenticity of this agreement. Plaintiff’s primary challenge is that Moving Defendant lacks standing to enforce the agreement as a third-party beneficiary.

“Under certain circumstances, a nonsignatory to an arbitration agreement may seek to enforce it against a signatory. Whether such enforcement is permissible is a question of state law.” (*Ford Motor Warranty Cases* (2023) 89 Cal.App.5th 1324, 1332 [citing *Kramer v. Toyota Motor Corp.* (9th Cir. 2013) 705 F.3d 1122, 1128; *Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 614, fn. 7].) State law provides six theories by which a nonsignatory may compel or be bound to arbitrate. These theories include: “(a) incorporation by reference; (b) assumption; (c) agency; (d) veil-piercing or alter ego; (e) estoppel; and (f) third-party beneficiary’ [citations].” (*Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1513.)